



Jase's Playbook

Auction Market **Playbook**

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The Playbook in One Idea

The whole thing runs on three ideas: **Auction Market Theory, Volume Profile, and Order Flow**. That's it.

The market is an auction. It only ever does two things:

- ◆ **Balance** — price rotates around fair value. Where most of the action sits.
- ◆ **Imbalance** — one side gets aggressive and drags price off to hunt new fair value.

Here's why most traders bleed: they trade every breakout and every "structure" pattern without asking one question — **is the market balanced or not?** In balance, price stays stuck ~70% of the time. Trade breakouts there and you get chopped into stop after stop.

The model fixes that with a **three-filter check**:

- ◆ **Market State** — balanced, or out of balance?
- ◆ **Location** — the Volume Profile levels that matter: LVNs (low-volume nodes) and the POC (Point of Control).
- ◆ **Aggression** — real order flow at those levels. Big prints, imbalances, CVD pressure.

Three green lights = trade. One missing = you stay flat.

Two setups cover both worlds:

- ◆ **Trend Model** — ride continuation when the market is out of balance, hunting new value.
- ◆ **Mean Reversion Model** — fade the snap-back when a breakout fails and price falls back inside.

Both are intraday, risk-controlled, and need zero prediction. You react.



Setup 1 — Trend Model

Out of balance → seeking new value

For when the market is out of balance and pushing with intent. You don't guess the breakout. You wait until price clearly leaves value, then ride continuation into the next balance.

USE When to use

- ◆ Best in the **New York session** (NQ, ES).
- ◆ Skip the London open — too many fake breakouts.
- ◆ Only when the market's out of balance and moving with momentum.

1 Market State

- ◆ Confirm the market is out of balance.
- ◆ You want displacement and momentum away from prior value.
- ◆ Price just rotating up and down? Skip it.

2 Location

- ◆ Take the impulse leg that broke structure.
- ◆ Drop a Volume Profile on that leg.
- ◆ Mark the **LVNs** inside the move — your reaction points.
- ◆ Set alerts just before the LVNs. No blind limit orders.

3 Execution Trigger

- ◆ Price comes back into the LVN → read the order flow.
- ◆ Want aggression **in the trend's direction**:
- ◆ Big sell bubbles / footprint imbalance = shorts.
- ◆ Big buy bubbles / imbalance = longs.
- ◆ **No aggression, no trade.**

4 Risk Management

- ◆ **Stop**: just beyond the aggressive print, 1–2 ticks past the obvious swing to dodge slippage.
- ◆ **Break-even**: CVD showing strong pressure? Move to BE early.
- ◆ **Size**: keep risk small — 0.25–0.5% per trade.

5 Target

- ◆ Previous balance **POC**. Close the full position there.
- ◆ Strong trend day — you can trail. But the rule is exit at POC: 70% of the time price reverses back from balance.



Setup 2 — Mean Reversion Model

Failed breakout → back into balance

The mirror of the Trend Model. Instead of chasing a move away from value, you wait for a breakout that **can't hold**. When it fails, the highest-odds outcome is price snapping back to the POC inside balance, where all the volume sits.

USE When to use

- ◆ Best in the **London session** or thin summer conditions.
- ◆ When the market tries to break out of balance and fails.

1 Market State

- ◆ Must be in balance or consolidation.
- ◆ Simple read: use yesterday's profile as your balance reference.
- ◆ Watch for price to push out of balance, then fail.

2 Location

- ◆ Don't take the first move back — that's the risky one.
- ◆ Wait for a clear **reclaim** inside balance, then a pullback into the reclaim leg.
- ◆ Volume-profile the reclaim leg and mark the LVNs.

3 Execution Trigger

- ◆ On the pullback into the LVN, read order flow.
- ◆ Aggression **in the snap-back direction**:
- ◆ Big buy prints = longs after a reclaim.
- ◆ Big sell prints = shorts after a failed upside break.
- ◆ **Only enter when aggression shows up.**

4 Risk Management

- ◆ **Stop**: just beyond the aggressive print, 1–2 ticks past the obvious high/low.
- ◆ **Size**: keep risk small — 0.25–0.5% per trade.
- ◆ **Invalidation**: if you're wrong, you're wrong fast. Never widen the stop.

5 Target

- ◆ Balance **POC** — the center of value. Exit full position there.
- ◆ Don't reach for the far side of the range unless conditions are exceptional.



What This Model Is — and Isn't

Note: the cons aren't flaws. They're the cost of admission — things that need patience, discipline, and management to make the model pay.

✓ Pros

- ◆ **Clear and structured.** Three steps — state, location, aggression. Rule-based, not vibes.
- ◆ **Adaptable.** One model for trend days, one for range days. Covered either way.
- ◆ **Tight risk.** Stops sit just beyond aggression. Small losses, fast invalidation.
- ◆ **High sample.** Lots of trades = consistency and quick drawdown recovery.
- ◆ **Built-in discipline.** No conditions, no trade. Kills overtrading and revenge trades.
- ◆ **Scalable R.** Normal trades run 1:2.5 to 1:5. Big days, much more.

✗ Cons — know & manage

- ◆ **Mentally demanding.** Small stop-outs cluster. Consecutive losses are part of it.
- ◆ **Needs focus and time.** Full attention during London or NY. Not a casual, part-time play.
- ◆ **Lower win rate in chop.** Compressed, indecisive days = more failed trades, lower strike rate.
- ◆ **Pressure with size.** Managing big intraday size is stressful, even with positive expectancy.



Trade Breakdown — Model 1

Trend continuation · out of balance → new value

STATE

Market condition

- ◆ New York session. Market out of balance, trending higher.

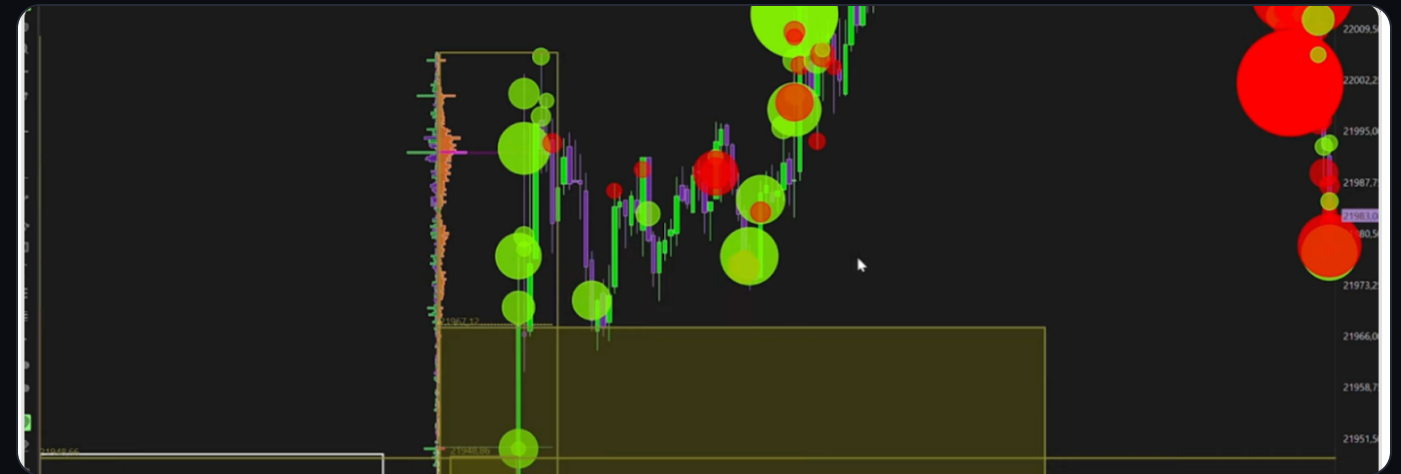
SETUP

How it plays out

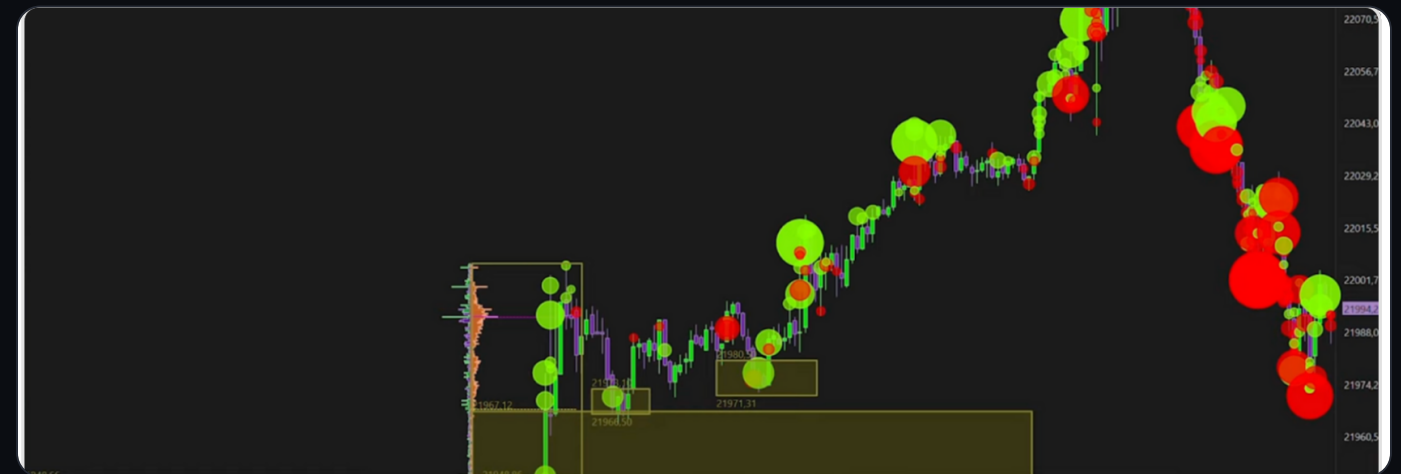
- ◆ Price breaks out of balance in NY and pushes hard up.
- ◆ Profile the impulse from base to top. A clean **LVN** forms in the retracement.



Impulse out of balance — profile plotted, LVN marked in the retrace.



- ◆ **Footprint:** big buy aggression right at the LVN — the confirmation you wait for.
- ◆ Enter long, stop just below the LVN.
- ◆ Price continues with the flow. Sellers try to fight — no follow-through. Buyers stay in control.
- ◆ Sellers show up with aggression and challenge the move → **exit to protect profit.**



Buyers step in at the LVN → trend continues; exit as sellers challenge.



Trade Breakdown — Model 2

Mean reversion · failed breakout → back to balance

STATE Market condition

- London session. Market balanced, attempting a breakout of the range.

SETUP How it plays out

- Price pushes above balance, looks like continuation — no follow-through. First attempt fails.
- Second breakout attempt fails too. Reversion is live.
- On the volume profile: price rejects above the value area and comes back inside.
- Order flow confirms — buyers hitting, can't push through. Aggression dies out.
- Enter short once price is firmly back inside balance, stop just above the failed high.
- Target the **POC** inside balance. Price rotates cleanly back into value to hit it.



Two failed pokes above value, rejection back inside — rotation targets the POC.

Get the Playbook

The full Auction Market model — two setups, entry rules, risk and targets — ready to load into Tradezella.

Model 1 • Trend

Out of balance → ride continuation to the previous balance POC. NY session.

Model 2 • Mean Reversion

Failed breakout → fade the snap-back into value. London / thin conditions.

Filters

Market State → Location (LVN / POC) → Aggression. Three lights or you stay flat.

Risk

0.25–0.5% per trade. Stops beyond aggression. Never widen.

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